Welcome Address of Shri M.L. Tandon, Chairman/ESC at ESC Award Ceremony for Excellence in Exports for the Year 1994-95 at Crystal Ball Room, Hotel Hilton, New Delhi-24.1.1996

Hon'ble Commerce Minister, Shri P. Chidambaram, Shri N. Mohanty, Secretary (SSI), Shri R. Basu, Secretary (Electronics), Shri Vachani, Vice Chairman, ESC, Shri Sandell Vice Chairman, ESC, Shri Nalin Kohli, Vice Chairman, ESC, Members of the Council, Friends, Fellow-Exporters, Ladies and Gentlemen.

It is indeed a great occasion for all of us that the Hon ble Commerce Minister, Shri P. Chidambaram has spared time to be amongst us to recognise the export performance of the outstanding exporters and distribute the Export Award. All of us are aware of the Hon'ble Minister's keen interest at the grass root level in formulating new economic policies of the Government since 1991. Due to his untiring efforts, a subtle synergy has evolved between the Government and the industry leading to a true partnership. There is today a much greater degree of openness in the Government and a deeper appreciation of the needs for mutual reliance between industry and the Government. The recent changes in trade, industry, investment, finance and infrastructure bear stamp of his interest and thinking.

You, Sir, have played a significant role in effecting the recent Economic Transformation and introduced many export schemes that has given tremendous flexibility to the industry to function effectively under various international market forces. We are confident that under your Leadership, the process of simplification will further reduce the time spent on procedural formalities, controls and regulations to give the industry a level playing field for international competition.

In the midst of this distinguished gathering, I feel happy and proud of our achievements. Starting with a Membership of 40 in April 1988, the Council has grown into a large organisation with a Membership of more than 1800 having considerable international reach, linkages and affiliations of significant importance to the exporting community. Exports have risen from Rs. 520 crore in 1988-89 to Rs. 3808 crore in 1994-95. Exim Policy has been pruned and simplified over the years and major infrastructural improvements are in sight. Such a remarkable progress in export development has been possible due to the positive support and guidance of the Government, the tireless efforts of the Industry and promotional measures taken by the Council. Collectively we have dealt with many problems and have penetrated many new markets for many new products. These efforts have resulted in increase of exports by 52 per cent in 1994-95 over 1993-94. The first half year's performance during the current year has registered an increase of 48.11 per cent over the corresponding period of the previous year.

We all know, India has potential to become a Global Player in the World Trade of Electronics and Information Technology, which is projected to have an estimated market size of US$ 1300 billion by the turn of the century. The



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mamoth size of the projected world electronics market is something that we just cannot afford to ignore in the industry or the Government in India. In order to realise our potential fully, we need to create an export culture in the country at all levels of industry and Government. Significant emphasis will have to be put on the quality of products and services and in getting the prestigious ISO-9000 Series Certification. I understand now we have more than 100 manufacturers of electronics hardware and 40 software companies which have been granted the ISO-9000 Certification. While this is indicative of the keenness on the part of our manufacturers to maintain high quality standards, the number is too small compared to the worldwide Certification granted to 95000 companies as of March 1995. I urge upon our member companies to work towards getting ISO 9000 Series Certification in order to gain acceptability in the Global Market. Incidentally, the

Government has realised the importance of this and has increased the incentive for ISO Certification from 1 per cent to 2 per cent and we hope that the Government will further increase this incentive. In addition, we need to have a massive increase in our production capacities and provide extensive training programmes to develop the capabilities of our personnel, both, for hardware and software. I wish to reiterate that India must preserve and expand its manufacturing base in electronics that is vital for our exports to achieve a percentage share of the world electronics market by the year 2000.

I am happy to inform that recently a Senior Level Japanese Delegation visited India and many of our Electronics manufacturing units. They were deeply impressed with our capabilities, quality control assurance techniques and adherence to details from design to packaging. ISO Certification was a great help in convincing them about our abilities to consistently produce good quality products. They were also impressed with the progress being made with regard to liberalisation of the economy.

The Council has fixed a target of Rs. 5000 crore (US$ 1.58 billion) for the year 1995-96 indicating a growth of 30 per cent in Dollar terms. This could only be achieved by the firm commitment from the exporters, the innovative export programmes undertaken by the Council and the necessary encouragement from the Government. The members of the Council are putting their best efforts and we have achieved 47 per cent of the target for the current year by the end of September 1995.

The Members of the Council are confident of achieving the target of Rs. 5000 crore for the year 1995-96. However, in the recent past, the exporting community has been facing acute liquidity problems caused by non-availability of funds for their existing projects as well as their expansion plans. In addition, their international competitiveness has also eroded because of increase of interest rates. Exporters have also been facing difficult times because of the volatile Foreign Exchange situation. We request you, Sir, to look into these problems and devise a remedy to enable put the exporters back on the path of sustained growth.

The Department of Electronics has proposed a goal of electronics projection of Rs. 75000 crore (i.e. about US $ 23.7 billion) for the year 2000-2001. This represents an annual growth rate of 30 per cent - 35 per cent during the 9th Plan.

On behalf of the Members of the Council I wish to assure you, Sir, that with the much needed support for our promotional activities, we propose to take the present level of our exports to US $ 8 billion which will increase the electronics share in India's total exports from 4.7 per cent in year 1994-95 to 10 per cent in the year 2000-2001.

There is another area that I will like to highlight in our electronics exports and that is the contribution made by the small and medium sized companies, namely the SSI. Their contribution has been vital to the growth of the electronics industry in general and exports in particular. We welcome the initiative of the Government to enhance the capital limit of SSI units and are confident that the electronics industry will benefit from the announcement to further increase their stake in national export.

While we have reasons to be proud in aiming at an export of nearly 30 per cent of electronics production by the end of this century, we must not lose sight of the fact that some of the countries in the South East Asia have already exceeded our goal for the year 2000-2001. Korea's exports of electronics for instance, were US$ 23.70 billion in the year 1993 which was 28 per cent of the National Exports of US$ 84.64 billion compared to our target of US $ 7 billion in the year 2000-2001. You, Sir, have rightly diagnosed the situation of trade balance and have fixed an ambitious target of US $ 75 billion for the country by the end of this century. You recently identified 15 commodities and 15 countries for intensive growth. Honourable Minister, Sir, in pursuance of your ideas of country/commodity matrix we are holding an important meeting today at 2.30 p.m. with exporters of electronics and computer software. I would also like to extend our invitation to all the interested exporters present here today to join us for this meeting in the afternoon.

Software sector has been doing extremely well and India is now universally recognised as one of the dependable sources and supplier of quality software. We are lagging behind in hardware exports, and as such, the Council has



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"The remaining few years leading to the dawn of the 21st century hold great hope for India to finally emerge as a global player in the world markets. With active support from the Electronics and Computer Software Export Promotion Council, India's exports of Electronics and Computer Software have risen to the level of Rs. 3808 crore (US $ 1228 million) during 1994-95, recording a growth of 52 per cent compared with the previous year. The current export target of Rs. 5000 crores (US $ 1587 million) is also well within the range of fulfilment. I wish to warmly congratulate the electronics industry as a whole and hope that the contribution of this sector will occupy an increasingly important position in our national export profile."

declared 1995-96 as The Hardware Year. To make it a success, and to pave the way for a continuous growth in the coming years, the Council has identified five distinct areas for initiating a number of promotional activities.

These relate to:—

Attracting Joint Ventures and Strategic Alliances of Investment in India for Export,

Setting up of Electronics Distributors Warehouses for ready availability of basic Electronic Components at International prices.

Project Exports in Electronics for Developing Countries,

On-line Data Bases/Trade Opportunities Information, and,

Launching of a Media Campaign about India's capabilities on "Oursourcingo and "Sub-Contractingo. The countries for these special promotional campaigns include the USA, Canada, select destinations in Europe, South Africa, CIS countries, South Korea, Taiwan, Singapore and Japan.

I am happy to inform you that with the support of the Members and the Government, some of the activities, mentioned above, have already been undertaken. A Computer Based On-Line facility and E-Mail Service in the Council has become operational. Detailed Market Survey of Canada, South Korea and Japan have already been made and Reports are available to members. Opportunities for Outsourcing and Sub-Contracting are being constantly explored. I appeal to the Members for their cooperation in making the Council's promotional programmes a success.

We plan to create an Internel Web Site which will include Home Page and Information of all its Member Exporters for access by foreign companies. Plans are also underway to create a Compact Disc (CD-ROM) with information of all Member Exporters which will include Video, Text and Data about the Indian industry and its strengths in the electronics and software sector. The CD-ROM will also enable foreign buyers to look at detailed Indian company information, facilities of manufacturing, international certification, pricing of products and services available. This will obviously reduce their search time and help them make quicker decisions leading to product sourcing, joint ventures and partnerships in India.

Contract manufacturing is something which I feel should shift to India. Contract manufacturing went from the U.S. to the Far East and from the Far East it went to Malaysia, Thailand and China, and now it is time for us to capitalise on it. This is an opportune time for Indian industries engaged in hardware to seriously look at contract manufacturing. Contract manufacturing in addition to increasing our exports will provide an essential base which is necessary to generate employment and proper environment for absorbing technology for future growth. Most of the countries have done economically well have traditionally used contract manufacturing as a base. This has been recently demonstrated by countries like Thailand and China.

Providing the requisite standard of services to a large membership comprising of a number small and medium size Member Exporters requires a commensurate budget. The Council is finding exceeding difficult to provide the necessary funds allocation. Since the Government grant is gradually shrinking and will be phased out shortly, the Council will need multilateral and bilateral assistance in addition to a higher level of support from the Members.

I take this opportunity to request the Members to communicate more freely with the Council regarding their problems. We must continuously identify ways and means of benefically serving the Council Membership to help increase our exports. Before I conclude, I wish to thank the Hon'ble Commerce Minister for his valuable time, members of the Working Committee, members of the Council, the Press, Media and Television for their support in making this function today a success. I also wish to place on record on behalf of the entire Working Committee, our sincere appreciation to Mr. R.H. Naqvi, Executive Director and his entire team for their dedication and devotion in the Council's activities.